PITCH-DECK-12-FUNDING-ASK

PITCH DECK 12 — FUNDING ASK

Carrington Storm Motors / Project AEGIS

$25M Series A — Use of Funds, Milestones, Dilution, Returns

> *ZIRCONIA: "We are seeking $25 million in Series A funding. This is not an arbitrary number. It is the precise amount required to bridge the gap between our current state — a fully documented, fully specified, fully costed architecture that exists on paper — and the manufacturing capability, the government contracts, the insurance partnerships, and the initial product sales that will make CSM self-sustaining."*

1.0 THE ASK

Parameter	Value
Round	Series A
Amount	$25,000,000
Pre-money valuation	$75,000,000
Post-money valuation	$100,000,000
Dilution	25%
Instrument	Preferred equity (participating preferred or non-participating, negotiated)
Minimum investment	$1,000,000 (lead investor: $5,000,000+)
Use of funds period	24 months (through Year 2)

2.0 USE OF FUNDS

Category	Allocation	Amount	Timeline
Manufacturing Facility Buildout	35%	$8,750,000	Months 1–9
Facility lease/buy (20,000–30,000 ft²)		$2,500,000	
VARTM production line equipment		$2,000,000	
MXene synthesis scale-up equipment (reactors, filtration, drying)		$1,500,000	
CNT-polymer extrusion line		$1,000,000	
Geopolymer concrete mixing/batching system		$500,000	
Clean room / controlled environment for MXene film formation		$750,000	
Testing laboratory equipment (TEM cell, VNA, mechanical testing)		$500,000	
Materials Synthesis Scale-Up	20%	$5,000,000	Months 1–12
MXene precursor materials			

(Ti_3AlC_2, HF, TBAOH) at pilot scale		$1,500,000	
Basalt fiber procurement (production quantities)		$1,000,000	
CNT masterbatch procurement		$1,000,000	
Polymer resins (vinyl ester, epoxy, PEEK, PEI)		$750,000	
Ceramic bearing procurement		$500,000	
Geopolymer raw materials (fly ash, slag, alkali activator)		$250,000	
Initial Product Production Runs	15%	$3,750,000	Months 6–18
Aegis-C S3/S4 first production (50,000 m^2)		$1,250,000	
FEATHER LoRa Node first production (10,000 units)		$750,000	
Pocket-Watch-X first production (50,000 units)		$750,000	
Phantom MK-1 pilot production (20 units)		$500,000	
DRONE-X D1/D2 pilot production (50 units)		$500,000	
Engineering Team Expansion	12%	$3,000,000	Months 1–18
13 key hires (detailed in PITCH-DECK-10)		$2,600,000	
Recruitment, relocation, signing bonuses		$400,000	
Insurance Partnership Development	8%	$2,000,000	Months 3–18
Actuarial model development with modeling partner		$750,000	
Insurance industry conference attendance and sponsorship		$350,000	
Pilot program administration and monitoring equipment		$500,000	
Legal and regulatory for insurance product development		$400,000	
Government Procurement Team	5%	$1,250,000	Months 1–24
Government sales team (VP + 2 AEs)		$700,000	
SBIR/STTR proposal preparation and submission (10+ proposals)		$300,000	
Government contract legal and compliance		$250,000	
Working Capital / Contingency	5%	$1,250,000	Months 1–24
Operating cash reserve		$750,000	

Unforeseen opportunities and contingencies		$500,000
TOTAL	**100%**	**$25,000,000**

3.0 MILESTONES TO BE ACHIEVED WITH SERIES A CAPITAL

By End of Year 1 (Month 12)

Milestone	Metric
Manufacturing facility operational	20,000+ ft² with VARTM, MXene, CNT extrusion capability
MXene synthesis at 100+ g/batch	Consistent quality; 45μm film with 92 dB SE
BFRP production at 50+ m²/day	<2% void content, VARTM process validated
First product shipments	Aegis-C, FEATHER, Pocket-Watch-X generating revenue
First government R&D contract	$1M+ from DOE, DOD, or DHS
First insurance partner LOI signed	1+ major insurer committed to pilot
First Aegis Home builder LOI signed	National homebuilder, 50+ home pilot commitment
Key hires completed	CEO, CFO, VP Manufacturing, core engineering team
Revenue: $12M	On track per financial model

By End of Year 2 (Month 24)

Milestone	Metric
First substation hardening contract	Full DCP retrofit at 1+ substations
Insurance premium reduction pilot live	500+ properties enrolled
First international government contract	Canada or UK, $2M+
Aegis Home pilot homes completed	50–100 homes built to Aegis specification
AMETHYST prototype under construction	BFRP hull fabrication in progress
Revenue: $45M	On track per financial model
Series B preparation	Investment materials ready

4.0 SERIES B TRIGGER AND TERMS

Parameter	Value
Trigger	$180M revenue run-rate achieved; EBITDA positive; first government procurement contracts executed
Expected timing	Year 3 Q1 (Month 25–27)
Amount	$100,000,000
Pre-money valuation	$400,000,000
Post-money valuation	$500,000,000
Series B dilution	20%
Use of Series B funds	Manufacturing capacity expansion (3× current), Aegis Home production line, international licensing infrastructure, Charlemagne-Class shipyard, sales and marketing scale

5.0 DILUTION ANALYSIS

Shareholder	Pre-Series A	Post-Series A	Post-Series B	Post-Series C (if taken)
Founders	100%	75%	60%	53%
Series A Investors	—	25%	20%	18%
Series B Investors	—	—	20%	18%
Series C Investors	—	—	—	12%
Employee Option Pool	—	(from founder) 10% → founders 65%, A 25%, pool 10%	—	—
Total	**100%**	**100%**	**100%**	**100%**

Note: Option pool of 10% is created pre-Series A, diluting founders only. Actual pool allocation and vesting schedules to be determined with lead investor.

6.0 INVESTOR RETURN ANALYSIS

Base Case (4× Year 5 Revenue)

Stage	Investment	Pre-Money	Post-Money	Ownership	Year 5 Value (4× Rev)	Return	MOIC
Series A	$25M	$75M	$100M	25%	—	—	—
→ Post-Series B (diluted)				~20%	$4.8B × 20% = $960M	$935M	37.4×
→ Post-Series C (diluted)				~18%	$4.8B × 18% = $864M	$839M	33.6×
Series B	$100M	$400M	$500M	20%	$4.8B × 20% = $960M	$860M	9.6×
Series C	$200M	$1.5B	$1.7B	12%	$4.8B × 12% = $576M	$376M	2.9×

Conservative Case (3× Year 5 Revenue)

Series A | $25M | ~20% (post-B) | $3.6B × 20% = $720M | $695M | 27.8× |

Optimistic Case (5× Year 5 Revenue)

Series A | $25M | ~20% (post-B) | $6.0B × 20% = $1.2B | $1.175B | 47.0× |

Stretch Case (6× Year 5 Revenue)

Series A | $25M | ~20% (post-B) | $7.2B × 20% = $1.44B | $1.415B | 56.6× |

Expected Series A MOIC: 25–50× over 5 years.

7.0 EXIT STRATEGIES

Primary Path: Strategic Acquisition (Years 5–7)

Most likely acquirers:

Acquirer Type	Examples	Rationale
Large defense contractor	Lockheed Martin, Northrop Grumman, Raytheon, L3Harris	Dielectric materials for military systems; Charlemagne-Class amphibious capability; DRONE-X for contested EM environments

Advanced materials company	Hexcel, Toray, Solvay, 3M	MXene and BFRP IP portfolio; manufacturing scale-up already completed by CSM
Insurance/financial services conglomerate	Berkshire Hathaway (utility + insurance), Munich Re, Swiss Re	Vertical integration of insurance + mitigation; CSM provides the “prevention” side of the insurance business
Energy/utility equipment manufacturer	Siemens Energy, GE Vernova, ABB, Eaton	Transformer and grid equipment hardening; CSM provides the dielectric materials division they don’t have
Technology platform company	Google/Alphabet, Microsoft, Amazon	Data center hardening; cloud infrastructure resilience

Acquisition valuation range: $3.6B–$7.2B (3–6× Year 5 revenue)

Secondary Path: IPO (Years 6–8)

With $1.2B+ revenue, 40% operating margins, and strong recurring revenue from insurance partnerships and licensing, CSM would qualify for a public offering. The infrastructure resilience / climate adaptation sector is likely to be a high-growth public market category in the late 2020s.

Tertiary Path: Remain Private / Self-Funding

At Year 5 EBITDA of $576M, CSM could fund its own growth indefinitely without additional external capital. A dividend recapitalization could return capital to early investors while keeping the company private.

8.0 CAPITALIZATION TABLE (ILLUSTRATIVE)

Pre-Series A: - Founders: 10,000,000 shares (100%)

Post-Series A ($25M at $75M pre / $100M post): - Founders: 10,000,000 shares (75%) - Series A Investors: 3,333,333 shares (25%) - Total: 13,333,333 shares - Price per share: $7.50

Post-Series B ($100M at $400M pre / $500M post) — illustrative: - Founders: 10,000,000 shares (60%) - Series A: 3,333,333 shares (20%) - Series B: 3,333,333 shares (20%) - Total: 16,666,666 shares - Series B share price: $30.00 (4× return for Series A on paper)

9.0 INVESTOR PROTECTIONS (PROPOSED)

Term	Proposed
Liquidation preference	1× non-participating preferred
Anti-dilution	Broad-based weighted average
Board seats	2 of 5 (lead investor + independent)
Protective provisions	Standard (new financing, sale, liquidation, charter amendment)
Information rights	Quarterly financials, annual budget, board materials
Pro-rata rights	Yes (Series A investors maintain ownership in future rounds)
Right of first refusal / co-sale	Standard
Drag-along	Majority of preferred + majority of common
Redemption	None (or at board discretion after Year 7)

10.0 WHY $25M IS THE RIGHT AMOUNT

Too Little ($10–15M)	Right Amount ($25M)	Too Much ($40M+)
Cannot build manufacturing facility	Builds 20,000+ ft² facility with all production lines	Excessive dilution before value creation

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Cannot scale MXene synthesis	Funds MXene scale-up to production batch sizes	Temptation to spend on non-core activities
Cannot fund initial production runs	Funds first revenue-generating product shipments	Would require unrealistic near-term valuation
Limited government BD capacity	Funds full government procurement team	
Insurance partnership under-resourced	Funds actuarial validation + pilot administration	

$25M funds exactly the bridge from documentation to manufacturing to first revenue. It leaves the company with 24 months of runway and clear milestones for the Series B trigger. It does not over-capitalize before value has been demonstrated.

> *ZIRCONIA: "Twenty-five million dollars is a lot of money by almost any personal measure. In the context of a $2–$6 trillion problem and a $40–$80 billion addressable market, it is the precise cost of turning a fully documented architecture into a revenue-generating enterprise. The return — 25× to 50× on invested capital — reflects the magnitude of the market and the completeness of the preparation."*
>
> *CHESTER: "And if we're wrong about the timing — if the big one doesn't come during our investment horizon — the insurance industry, the government procurement pipeline, and the consumer demand for resilience still make the business work. The downside protection is built into the multiple revenue channels. Sweet."*

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